

Marvell Technology, Inc.

MRVL NASDAQ

Buy	\$229.18 ▲ 2.52%	12M Price Target \$265.00	52-Week Range \$65.19 – \$329.88	Market Cap \$205.95B
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MRVL: AI Silicon Story Reasserts Itself After Chip Selloff

WHAT HAPPENED

- MRVL is up 2.5% today and roughly 9% off last week's low — the market is unwinding the "summer chip selloff" fear as bullish AI narrative pieces hit (24/7 Wall St. calling it "one of the most important AI picks," GuruFocus flagging photonics as the next leg). This matters because the setup into their Oct. 6 event is now a "prove it" moment — money is front-running good news.
- Options flow is screaming bullish — call buying at \$240, \$245, and \$260 strikes with unusual volume 2-7x open interest. Translation: big traders are betting on a move to \$260+ before September expiration, which usually means someone thinks there's a catalyst coming.

WHY IT MATTERS

The bounce off \$206 tells you the AI chip trade isn't broken — it just needed a breather after an 18% summer selloff. What's really happening: hyperscalers (Amazon, Microsoft, Google) are locking in multi-year custom silicon roadmaps, and MRVL is the #2 player behind Broadcom in that game — meaning every time AWS confirms it's expanding its Trainium program, MRVL benefits directly. The photonics angle is the sleeper — as AI clusters get bigger, moving data between chips becomes the bottleneck, and MRVL's optical DSP business is one of the few ways to solve it. Watch for: if they pre-announce anything positive before Oct. 6, this thing runs to \$260 fast; if they stay quiet, expect chop between \$220-235.

POLICY & POLITICAL WATCH

The CHIPS Act money is still flowing — MRVL doesn't build fabs but benefits indirectly because TSMC's Arizona fab (where MRVL manufactures) is getting federal subsidies that keep MRVL's supply chain onshore and geopolitically safer. The bigger policy watch is the ongoing Biden-era-into-Trump-era export controls on advanced chips to China — MRVL has already taken the hit on China exposure (down to ~15% of revenue), so any further tightening is largely priced in, but any *loosening* as part of a US-China trade détente would be a surprise upside. Also watch the federal AI infrastructure spending discussions in Congress — Marvell's custom ASICs are exactly what agencies would buy for sovereign AI compute.

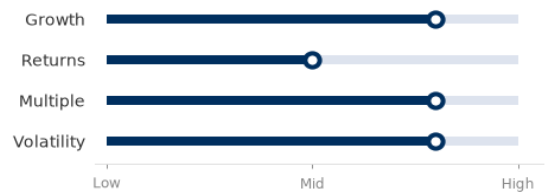
IS IT EXPENSIVE?

At \$229 and roughly 83x forward earnings, investors are paying \$83 for every \$1 of profit MRVL is expected to make next year — that's expensive by any historical measure, but roughly in-line with other AI-exposed semis like AVGO and NVDA. The justification: revenue is set to grow ~30% next year driven by custom silicon, and if that accelerates the multiple compresses fast. Bottom line — it's not cheap, but it's not egregious either; you're paying up for a specific AI thesis that's still playing out.

Key Data

Price (USD)	\$229.18
12M Price Target	\$265.00
Upside / (Downside)	+15.6%
Market Cap	\$205.95B
FY2026E Revenue	\$8,200M
FY2027E Revenue	\$10,500M
FY2026E EPS	\$2.75
FY2027E EPS	\$3.90
Fwd P/E	83.3x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$250.00	\$235.00	\$205.00
6 Months	\$290.00	\$260.00	\$190.00
1 Year	\$330.00	\$265.00	\$175.00
2 Years	\$400.00	\$310.00	\$160.00
5 Years	\$550.00	\$400.00	\$180.00
10 Years	\$900.00	\$600.00	\$200.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Utilities (+3% over 5 days) — this is actually an AI story too; data centers need massive power, and utilities are the picks-and-shovels play. Energy also catching a bid on the same theme plus geopolitics.

COOLING OFF: Consumer Discretionary (-1.9% over 5 days) — consumer is weakening as tariff impacts and higher-for-longer rates bite household budgets.

ROTATION WATCH: Money is rotating into "AI infrastructure adjacent" plays — utilities, energy, and select semis. That's a direct tailwind for MRVL as investors seek AI exposure beyond the crowded NVDA trade.

RELATED PLAY: If MRVL's photonics narrative gets traction, look at Coherent (COHR) and Lumentum (LITE) — they make the optical components that plug into MRVL's DSPs. Also VRT (Vertiv) for data center cooling — same AI capex tailwind, different angle.

WHO'S WINNING IN THIS SPACE?

- AVGO (Broadcom): Leading the custom silicon narrative with Google TPU wins — proof that the ASIC thesis is real and MRVL is riding the same wave.
- NVDA (Nvidia): Still the AI infrastructure king — today's news framing NVDA as "the platform for all of AI" is a rising tide that lifts MRVL as a complementary player, not competitor.

MRVL CONTEXT: MRVL is lagging AVGO year-to-date but has been catching up over the past two weeks — this suggests the market is starting to view MRVL as the "second custom silicon horse" worth owning. If AVGO keeps running, MRVL typically follows with a lag.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

Position Size: 2-4% of portfolio

Entry Points: \$205-215 on chip sector pullbacks

Time Horizon: 12-24 months

Thesis Invalidation: Loss of Amazon/Microsoft custom silicon contract, or AI capex guidance cut from hyperscalers

Hedging: Pair with SMH puts or short a richer-valued AI peer